5 Becky buys a new car for £25 000

The value of this car will depreciate

by 20% at the end of the first year
and then by 12% at the end of every year after the first year.

Work out the value of the car at the end of 3 years.

Year 1: £25000 × 0.80 = £20000

1 mark
Keep 80%.

Year 2: £20000 × 0.88 = £17600

1 mark
Then keep 88% of reduced value.

Year 3: £17600 × 0.88 = £15488

1 mark
£15488.

£.....

(Total for Question 5 is 3 marks)